

SPOTTING ONLINE ACADEMY
Advanced Level Zimsec

ACCOUNTING

PAPER 3 Problem Solving

6001/3

2 hours 30 minutes

26 MAY 2025

REVISION SESSION

Candidates must write on answer sheets

Additional materials:

Calculator

TIME 2 hours 30 minutes

INSTRUCTIONS TO CANDIDATES

Write your name on the answer sheet.

This paper consists of 4 questions with 25 marks each.

Answer **all** questions.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part.

Total Marks [100]

This question paper consists of 6 pages

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Answer **all** questions

1. Makwema prepared a trial balance from his ledger on 31 December 2022.

The trial balance totals were \$180 200 (debit) and \$177 000 (credit).
He placed the \$3 200 difference in a suspense account.

The following errors were later discovered:

- (i) A cash sale of \$2 000 had been recorded only in the cash account.
- (ii) A purchase of machinery worth \$4 500 had been entered in the purchases account.
Depreciation at 10% had not been charged.
- (iii) Rent received of \$1 200 had been debited to the rent expense account.
- (iv) A credit sale of \$3 600 to K. Bhila had been posted to his account as \$6 300.
- (v) Insurance paid of \$800 had been correctly entered in the cash book but not posted to the ledger.
- (vi) A bad debt of \$450 written off from G. Muhwahwa's account had not been entered in the bad debts account.
- (vii) A payment for drawings of \$700 was mistakenly debited to the wages account.
- (viii) Discount allowed of \$1 325 was credited to the discount received.

Required:

- (a) Prepare journal entries to correct the errors. **[9]**
- (b) Write up the suspense account. **[7]**
- (b) The profit for the year before correcting errors was \$42 600.
Prepare a statement to calculate the corrected profit for the year. **[9]**

2. Melta and Genius were in partnership sharing profits and losses in the ratio 3:2.

The partnership statement of financial position at 31 December 2023 was as follows:

Non-Current Assets	\$
Land and Buildings	120 000
Machinery	45 000
Motor Vehicle	30 000
	195 000
Current Assets	
Inventory	20 000
Trade receivables	10 000
Bank	5 000
	230 000
Capital and Liabilities	
Capital Accounts—Melta	90 000
—Genius	60 000
	150 000
Current Liabilities	
Trade payables	80 000
	230 000

On 1 January 2024, Telme was admitted to the partnership under the following terms:

1. Telme would contribute \$70 000 as his share of capital and goodwill.
2. The new profit-sharing ratio would be 2 : 2 : 1 for Melta, Genius, and Telme respectively.
3. The partnership agreed that the assets should be revalued at 1 January 2024 as follows:

Land and Buildings: \$150 000
Machinery: \$40 000
Motor Vehicles: \$25 000
Inventory: \$18 000

4. Goodwill is valued at \$100 000. It was agreed that a goodwill account would not be maintained in the books.

Required:

- (a) Prepare the Revaluation Account.

[6]

(b) Prepare the Partners' Capital Accounts. [9]

(c) Prepare the Statement of Financial Position immediately after Telme was admitted as a partner. [7]

(d) State the any 3 causes of partnership changes. [3]

3.The Statement of financial position of Anesu Bhila Limited as at 31 December 2023 was as follows

Non-Current Assets	COST \$	DEPN \$	NBV \$
Land and Buildings	240 000	—	240 000
Equipment	120 000	(40 000)	80 000
Motor Vehicle	80 000	(20 000)	60 000
			380 000
Current Assests			
Inventory		90 000	
Trade Receivables		70 000	
Bank		10 000	170 000
Total Assets			550 000
Equity and Liabilities			
Equity:			
250 000 Ordinary Shares of \$1 each			250 000
40 000 5% Redeemable Preference shares of \$1 each			40 000
Share Premium			20 000
Revaluation Reserve			10 000
Retained Earnings			80 000
			400 000
Current Liabilities			
Trade payables			150 000
			550 000

The following transactions took place during the year 31 December 2024:

Jan 5 - All preference shares were redeemed at a premium of \$0.20 per share using retained earnings.

Feb 15 - Equipment was revalued to \$130 000.

Feb 16 - Anesu Deposited \$40 000 into the business Bank Account.

Mar 1 - Trade receivables of \$5 000 were written off as irrecoverable debts.

Apr 10 - A bonus issue of one ordinary share for every ten held was made using share premium and retained earnings.

May 18 - A rights issue of one ordinary share for every four held was made at \$1.50 per share and was fully subscribed.

June 30 - Annual depreciation was charged:

- Equipment: \$6 000
- Motor Vehicles: \$8 000

Required:

(a). Prepare journal entries to show the transactions above. [11]

(b). Redraft the Statement of financial position after the transactions above. [14]

4. The following information relates to Kuda Bhila Furniture Ltd.

Cost Data per Unit:	\$
Selling Price:	55
Direct Material Cost:	18
Direct Labour Cost:	10
Variable Production Overhead:	4

Monthly Fixed Costs:

Fixed Production Overhead: \$16 000

Fixed Selling & Administration Costs: \$25 000

Additional Information

Fixed production overhead is absorbed based on normal production capacity of 8 000 units per month.

Variable selling costs are 8% of sales revenue.

Monthly Production and Sales Data:

	January	February
Production:	9 000	7 000 units
Sales:	7 000	8 000 units

There was no inventory on 1 January.

- (a) Prepare Income Statement for January and February Using:
 - (i) Marginal Costing, [8]
 - (ii) Absorption Costing. [9]
- (b) Prepare a Statement to reconcile the profit in **a(i)** with profit in **a(ii)** [6]
- (c) Explain why absorption costing is important. [2]

THE END.....

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